LAND USE BOARD OF ADJUSTMENT

BOULDER COUNTY, STATE OF COLORADO

Landowner:	Martin Marietta Materials, Inc. ("**Appellant**")
Re:	Appeal of Special Use Lapse Determination (the "**Appeal**")
Permit:	SU-96-18 (the "**Permit**")
Date:	May 27, 2022

Martin Marietta Materials, Inc. ("**Martin Marietta**") and its predecessors have operated a sand and gravel mining complex, known as the Lyons Pit, for almost fifty years. In 1998, Boulder County granted the Permit, which authorized Martin Marietta's predecessor to engage in open mining, a variety of accessory uses, and reclamation activities. Despite a robust body of evidence demonstrating the continuous and intentional operation of accessory uses at the Lyons Pit since that time, the County's Director of the Community Planning & Development Department on April 27th determined that the Permit had lapsed under Article 4-604 (the "**Lapse Provision**") of the Boulder County Land Use Code—a decision that directly contradicts the Colorado Court of Appeals' interpretation of that provision in *Save Our Saint Vrain Valley, Inc. v. Boulder Cty. Bd. of Adjustment*[1], and the County's prior representations that the Permit remained operative through 2017.

As explained in Martin Marietta's March 21, 2022 memorandum to the Director (the "**Memorandum**"),[2] Martin Marietta's Permit has not lapsed because (1) open mining occurred during the operative "lapse" period; (2) even if no mining occurred, continuous accessory uses have operated since 1998, and these uses independently prevent a lapse; and (3) the County cannot now find that the Permit has lapsed when it consistently represented to the contrary and Martin Marietta relied, to its detriment, on the

[1] 2021 COA 44, cert. denied sub nom. *Martin Marietta Materials, Inc. v. Save Our Saint Vrain Valley, Inc.*, 21SC344, 2021 WL 5168855 (Colo. Nov. 1, 2021) [hereinafter the "**Appellate Opinion**"].

[2] Contemporaneously with this Appeal, Martin Marietta has resubmitted the materials submitted in connection with the Memorandum and respectfully requests that all materials referenced in the Memorandum be included in connection with the consideration of this appeal.

County's assurances. Martin Marietta hereby incorporates the entirety of the arguments set forth in the Memorandum into this statement of appeal. The Director also erred in failing to follow the Court of Appeals' direction regarding accessory uses. The Board of Adjustment ("**BoA**") must find that the Permit has not lapsed under the Lapse Provision, and the Director's determination must be overturned pursuant to Code Section 4-1201 *et seq*.

PROCEDURAL BACKGROUND

The Memorandum provides a more thorough operational history, but a brief summary of the procedural background merits attention here. In 2017, the County approved Martin Marietta's site plan and landscape plan to resume mining operations after the catastrophic floods of 2013 required several years' worth of site rehabilitation. Memorandum at 4. The County's plan approvals prompted Save Our Saint Vrain Valley's ("**SOSVV**") request for an interpretation that the special use of gravel mining authorized under the Permit had lapsed due to a lack of activity for a continuous period of five years. Until SOSVV filed that request, the County had never before expressed doubt about the status of the Permit and had on several occasions confirmed the validity of the Permit, as illustrated in the Memorandum. *Id.* at 4, 11–12.

In April of 2018, the Director concluded that activities under the Permit—in particular, post-mining reclamation activities—prevented a lapse. *Id.* at 2. After unsuccessfully appealing the lapse decision to the BoA, SOSVV filed a C.R.C.P. 106(a)(4) action in Boulder County District Court. The District Court affirmed the County's finding that the Permit had not lapsed because qualifying activities, which were specifically recited within the special use permit, had occurred at the site. SOSVV appealed.

The Court of Appeals overturned the District Court, holding that the Lapse Provision[3] "unambiguously requires activity directly related to the special use itself, *or* any authorized accessory uses,

[3] That provision states:

> Any approved use by Special Review which commences operation or construction as required under Subsection 4-604.B., immediately above, shall lapse, and shall be of no further force and effect, if the use is inactive for any continuous five-year period or such shorter time as may be prescribed elsewhere in this Code or in a condition of a specific docket's approval. If this period of inactivity occurs, the

to prevent a lapse." Appellate Opinion, ¶ 5 (emphasis added). The Court of Appeals instructed the Director to consider evidence of those activities. *Id.* ¶¶ 53-56. The Court of Appeals also confirmed that the County should consider equitable factors in connection with its special use review, as a separate basis for concluding that the Permit remains valid. *Id.*

On April 27, 2022 the Director concluded the Permit had lapsed, reasoning that the primary mining use had not occurred and that no accessory use could occur without it. He therefore declined to consider evidence of any accessory uses. He additionally determined that because the Permit's lapse was not "at issue" in the numerous assurances the County made to Martin Marietta that its desired mining plan was in conformance with the Code, Martin Marietta should not have relied upon the County's representations that it remained in force.

STATEMENT OF THE LAW

When a court remands a case to a local government, the local government must adhere to the court's conclusions and all rulings logically necessary to sustain those conclusions. *Super Valu Stores, Inc. v. Dist. Court In & For Weld Cnty.*, 906 P.2d 72, 79 (Colo. 1995); *People v. Roybal*, 672 P.2d 1003, 1005 (Colo. 1983). An appellate court's conclusions and rulings become the "law of the case" and must be followed in subsequent proceedings, as appellate courts "have superintending control" over lower courts and adjudicators. *Roybal*, 672 P.2d at 1006 n.6. Just as the Director was bound to evaluate the Permit and the Lapse Provision according to the Court of Appeals' interpretation, the BoA must review the Director's decision for compliance with the Appellate Opinion. To be sure, Article 4-1201 of the Code identifies various factors the BoA should consider in reviewing the Director's interpretation of the Lapse Provision. In applying these factors, however, the BoA cannot arrive at an interpretation that departs from the Court

> use may not be recommenced without a new discretionary approval granted under this Code. An approved special use shall be deemed inactive under this Subsection 4-604.C. *if there has been no activity under any portion of the special use permit* for a continuous period of five years or more as a result of causes within the control of the special use permittee or agent.

Code, Art. 4-604.C (emphases added).

of Appeals' opinion, as lower tribunals have "no discretion to disregard binding appellate rulings." *Hardesty v. Pino*, 222 P.3d 336, 340 (Colo. App. 2009). The appellate interpretation "must be followed. *Roybal*, 672 P.2d at 1005.

ARGUMENT

I. The Director's Determination Conflicts with the Appellate Opinion's Specific Instruction to Consider Accessory Uses

The Director incorrectly applied the Appellate Opinion when he declined to consider the numerous accessory uses that took place at the Lyons Pit since 1998. The Court of Appeals held that "the five-year lapse provision unambiguously requires activity directly related to the special use itself, *or any authorized accessory uses*, to prevent a lapse." Appellate Opinion ¶ 5. The Director improperly disregarded as irrelevant evidence of all accessory uses—even those expressly identified and authorized in the Permit—because he concluded that accessory uses could not occur without an operating primary use. This interpretation negates the Court of Appeals' conclusion (and direction) that accessory uses have to be considered in determining whether a lapse occurred. By ruling that there must first be a primary use being carried on before an accessory use may be considered, the Director effectively concluded that accessory uses will never be relevant because the lapse would be tolled by the primary use. In other words, under his interpretation, an accessory use could never prevent a lapse. This interpretation conflicts with the Court of Appeals' direction and must be reversed for failure to apply the law of the case.

The Court of Appeals interpreted the Lapse Provision as requiring either of two sets of activities to prevent a lapse: (1) "activities directly related to the special use itself" ***or*** (2) "any authorized accessory uses." Appellate Opinion ¶ 5. By using the term "or" the Court of Appeals instructed the Director to consider accessory uses irrespective of whether he found that the special use had continued. *See Willhite v. Rodriguez-Cera*, 2012 CO 29, ¶ 18, 270 P.3d 1233, 1238 (noting that "the use of the disjunctive "or" reflects a choice of equally acceptable alternatives.) The Court of Appeals interpreted the Lapse Provision and issued clear instruction. Its interpretation is the law of the case, and neither the Director nor the BoA may disregard it. *Super Valu Stores*, 906 P.2d at 79.

The Director erred because his approach conflicts with the Court of Appeals' unambiguous direction on remand, as well as the purpose of that remand. First, the Director erred in disregarding Martin Marietta's accessory use evidence because the Court of Appeals specifically instructed him to consider accessory uses as an independent basis to prevent lapse. That alone requires reversal. Second, his approach also undercut the Court of Appeals' rationale for remand. If an accessory use could not occur without the special use, then the Court of Appeals' conclusion that no mining had occurred since 2006 should have ended the case. But the Court ordered a remand because it did not have the facts upon which to determine whether accessory uses occurred, independent of active mining, during the relevant period. The Director was not free to ignore this direction and to reach his own conclusion about whether accessory uses could or could not exist without active mining.[4] *See Hardesty*, 222 P.3d at 340.

If the Director had followed the Court of Appeals' direction, he would have recognized that any and all of the following accessory uses sufficed to prevent a lapse:

- Outside storage and equipment maintenance
- Groundwater monitoring
- Mined materials stockpiling
- Portable office maintenance
- Low water crossing and conveyor bridge maintenance
- 2015-16 facility upgrades and additional storage
- Grading, right-of-way construction, other "activities to plan and prepare for mining"

These accessory uses were integral to the Lyons Pit mining operation. The parties understood the importance of maintaining compliance with the Permit, and its long list of approval provisions and conditions, so that gravel mining could resume. If Martin Marietta and its predecessors had not planned to resume active excavation at the Lyons Pit, they would not have stored mining materials, maintained

[4] The Director also ignored Martin Marietta's evidence that active mining had occurred.

equipment and an office, or monitored groundwater at the site. It is difficult to imagine what these uses are, if they are not accessory uses to mining.

The Director did not dispute Martin Marietta's evidence that any of the listed accessory uses occurred, and sufficient evidence demonstrated that they did, so his legal conclusion that accessory uses were impossible without the primary special use was his only basis for disregarding them. That basis was improper. *Super Valu Stores*, 906 P.2d at 79. Martin Marietta delivered exactly the accessory-use evidence the Court of Appeals requested, and those accessory uses prevented the Permit from lapsing.

II. The Director Misinterpreted the Code

Although the Director erred in failing to apply the law of the case, he also misinterpreted and misapplied the Code when considered against the four factors set forth in Article 4-1202.A.1:

a. The technical meaning of the provision being appealed[5]

The Lapse Provision states that a special use shall lapse "if there has been *no* activity under *any* portion of the special use permit for a continuous period of five years." Code, Art. 4-604.C (emphasis added). A lapse therefore requires a *complete* lack of qualifying activity for a continuous period of five years. Thus, to find that the Entitlements lapsed, the Director was required to find that Martin Marietta did not conduct *any* mining, reclamation, accessory uses, or mine preparation activities authorized by the Permit during the relevant five-year period. Any evidence of a qualifying use, carried out for any amount of time during the five-year lapse window, prevents a lapse. A single use or activity suffices, and the technical meaning of the Lapse Provision does not require that the "activity" be operated at a particular level, continuously, or for any particular duration. The Director therefore erred in ignoring evidence of the many activities conducted under multiple portions of the Permit, particularly considering that the Permit identifies the accessory uses the Director disregarded.

[5] The Appellate Opinion supplies all the necessary technical meaning of the Lapse Provision. Even without that opinion, however, the Lapse Provision does not support a finding of lapse here.

b. Evidence as to the past interpretation of the provision

Before SOSVV appealed the Director's first lapse determination, the County had taken an expansive view of the activities preventing a lapse, including "activities to plan and prepare for mining as well as necessary post-mining reclamation activities." While the Appellate Opinion potentially limited the meaning of the "Special Use" under the permit, it did not direct the County to take a less expansive approach regarding "activity under any portion of the special use permit." There was no reason, for example, for the Director to exclude evidence of accessory use conducted as part of the integrated mining operation.

c. The principles of interpretation and rules of construction in Article 1 of this Code

The Director's interpretation conflicts with Article 1-900.A.2 because it conflicts with a "provision of law"—that is, the Appellate Opinion, as described above.

d. The effect of the interpretation on the intent of this Code and the implementation of the Boulder County Comprehensive Plan and any applicable intergovernmental agreement affecting land use or development

The Director's interpretation conflicts with both the intent of the Code and the Boulder County Comprehensive Plan. The Code is intended to "foster[] agricultural and other industries" and to provide for coordinated master planning of "commercial mineral deposit extraction." Construing the Lapse Provision to exclude accessory activities and other pre- and post-mining operations does not foster industry or commercial mineral deposit extraction. Quite the opposite: operations like the Lyons Pit have multi-decade lifespans and require accessory activities to accommodate and plan for mining even without active sand and gravel extraction. The Boulder County Comprehensive Plan likewise directs the County to preserve access to aggregate and to prevent uses that would inhibit extraction from encroaching upon mineral resource areas. The Lyons Pit lies within a mineral resource area and interpreting the Code to require a lapse finding even while mining-related activities remain ongoing at the site does not serve these preservationist aims.

CONCLUSION

For the foregoing reasons, as well as the reasons set forth in the Memorandum, Martin Marietta requests that the BoA overturn the Director's decision and find that the Permit has not lapsed.